

Darling Ingredients Inc. (NYSE: DAR)

A rendering company that became a renewable-diesel company: the June quarter earned more than the previous four combined, a third of it from policy and one-offs, and the debt it is paying down with the proceeds is the case.

RECOMMENDATION	PRICE	TARGET	HORIZON
BUY on the cash flow, with 20% policy exposure priced as the risk it is	\$62.50	\$74.47	12 months, through the 2027 renewable fuel mandate
MARKET CAP	ENTERPRISE VALUE	EV / FWD EBITDA	NET CASH
\$9.91bn	\$13.92bn	9.4x	\$-4.01bn

In one paragraph

Darling collects what the food chain discards - fats, proteins, used cooking oil, hides, blood - and turns it into feed, food and fuel ingredients. Its fuel business is a 50% share of Diamond Green Diesel, the largest renewable diesel producer in North America, in a joint venture with Valero. In the June quarter Darling earned \$2.41 a share against an estimate of \$1.27, a 90% surprise, on combined adjusted EBITDA of about \$742m: \$353m from ingredients and \$389m from the diesel venture, which made \$2.23 a gallon. Part of that is durable - the ingredients business is growing revenue 15% and the venture's economics are underwritten by the renewable-fuel mandate. Part of it is not: \$51m was a recovery of tariffs, and the company separately sold \$150m of production tax credits. Trailing free cash flow is \$881m on a \$9.9bn market value, 8.9%, and the company used the quarter's \$280m of venture distributions to repay \$223m of debt, taking net leverage from 2.9 to 2.3 times. Twenty-five analysts cover it, all at Buy, average target \$74.50, 19% above the price. The pitch is that the market is paying nine times EBITDA for a business deleveraging at that pace; the risk is that the margin in the diesel venture is set in Washington.

The business

Three segments. Feed Ingredients is the core rendering business - collecting animal by-products and used cooking oil from restaurants and processors and converting them to fats and proteins sold into animal feed, pet food and, increasingly, as feedstock for renewable fuels. Food Ingredients is gelatin, collagen and specialty proteins (Rousselot, Gelnex), where the recent Brazilian acquisition of the Potenze plants adds capacity. Fuel Ingredients is the 50% stake in Diamond Green Diesel and some European biogas.

The ingredients businesses are steady, capital-intensive and cyclical with fat and protein prices: \$353m of EBITDA in the quarter, growing with acquisitions and with the fact that Darling's own feedstock is what the diesel venture needs. The fuel business is where the earnings swing. Diamond Green Diesel produces renewable diesel and, since 2024, sustainable aviation fuel; its margin per gallon depends on diesel prices, feedstock costs and - decisively - on policy: the Renewable Fuel Standard's blending mandate and the RIN credits it creates, California's LCFS credits, and the federal 45Z production tax credit that replaced the blender's credit in 2025.

The balance sheet is the third thing to understand. Net debt is \$4.0bn against trailing EBITDA of roughly \$1.5bn (the market's 9.4 times enterprise multiple implies it); management's own net leverage figure is 2.3 times after the quarter's repayments. Maintenance capital expenditure for 2026 is about \$450m. The company is using venture distributions to repay debt, buy back stock (\$73m in the quarter) and make bolt-on acquisitions, in that order.

The numbers behind it

Quarter	Revenue	YoY	Gross margin	Operating income	Net income
2026-07	\$1.72bn	+16%	+47%	\$657m	\$387m
2026-04	\$1.55bn	+13%	+18%	\$125m	\$134m
2026-01	\$1.72bn	+21%	+17%	\$145m	\$57m
2025-09	\$1.56bn	+10%	+17%	\$116m	\$19m
TTM	\$6.56bn	+15%	+25%	\$1.04bn	\$598m

Reported figures from FMP's statement feed, quarterly as filed; TTM is the sum of the last four. Growth is against the same quarter a year earlier.

The thesis

1. Nine times EBITDA and an 8.9% free cash flow yield for a business paying down debt

Enterprise value is \$13.9bn - \$9.9bn of equity plus \$4.0bn of net debt - against trailing EBITDA of about \$1.5bn and free cash flow of \$881m. Every \$223m of debt repaid transfers value from creditors to shareholders at no change in the enterprise value, and the venture is throwing off the cash to do it: \$280m of distributions in one quarter. A Piotroski score of 9 out of 9 is the mechanical version of the same observation - every measure of profitability, leverage and efficiency improved year on year.

2. The ingredients business is worth owning without the diesel venture

\$353m of quarterly EBITDA, revenue growing 15%, and a moat that is physical: collection routes, rendering plants and long-term supply contracts with the processors who produce the raw material. Nobody builds a competing rendering network. Valued alone at a food-ingredient multiple that segment supports much of the enterprise value; the diesel venture is the upside and the volatility.

3. Policy support is in place through 2027, and Darling is the producer best able to use it

The 2026-2027 renewable volume obligations are set and are large; the 45Z credit runs to 2027 and rewards low-carbon-intensity feedstock, which is exactly what Darling's own fats and used cooking oil are. Management's point that small independent producers cannot monetise 45Z at full value - Darling sold \$150m of credits to a corporate buyer - is a competitive advantage in a policy-driven market: scale gets paid, sub-scale does not.

Why now

The next report is 22 October, twenty-eight days out, and it will show whether the June quarter's \$2.23 a gallon was a peak or a level. The stock is 11% below its high and flat over the last month after doubling in a year; the market is not extrapolating the June quarter, which is the right instinct and also the opportunity if the venture's margin holds anywhere near it. The screen surfaced DAR for a standardised earnings surprise of 4.10 - the fourth-highest of the sixty-three names - and for a director's open-market purchase. The author's reading is that the surprise overstates the durable earnings and the purchase understates the selling: see the case against.

- Third-quarter report on 22 October: Diamond Green Diesel margin per gallon and ingredients EBITDA, with the tariff recovery and credit sale stripped out.
- Any EPA action on the 2027 renewable volume obligation, and Treasury's final 45Z regulations - both set the venture's margin.
- Further debt repayment from venture distributions; the pace is the thesis.
- Sustainable aviation fuel volumes, which carry a higher credit value than road diesel.
- Next report 2026-10-22 (28 days).

What it is worth

The cases apply an EBITDA multiple to a trailing-EBITDA assumption, subtract net debt of \$4.01bn and divide by the 158.8m shares implied by the market value. Trailing EBITDA is taken as \$1.49bn, the figure the market's 9.36 times enterprise multiple implies; the June quarter annualised would be far higher and the author does not annualise it, because \$51m of it was a tariff recovery and the venture's margin is the variable in question.

Bear: policy support fades, the venture margin halves, EBITDA \$1.30bn at 8 times. Base: EBITDA \$1.55bn at 9.5 times - roughly today's multiple on a modest step up, which is what continued deleveraging alone delivers. Bull: EBITDA \$1.75bn at 11 times if the June quarter's venture margin proves closer to a level than a peak. All three multiples are the author's; the street's \$74.50 consensus sits between base and bull.

Case	Basis	Implied price	vs spot
Bear	8x EBITDA of \$1.30bn less \$4.01bn net debt (author's assumptions; policy fades)	\$40.24	-36%
Base	9.5x EBITDA of \$1.55bn less \$4.01bn net debt (author's assumptions)	\$67.47	+8%
Bull	11x EBITDA of \$1.75bn less \$4.01bn net debt (author's assumptions; DGD margin holds)	\$95.97	+54%
Street	consensus of 25 analysts	\$74.50	+19%
Panel	Top-decile earnings surprise: mean 12m of names like it ...of which doubled 5.2%, halved 4.3%	\$71.97	+15%

Street targets are the sell side's twelve-month numbers and skew high; the panel row is the descriptive base rate for names with this profile, not a forecast for this one.

The case against

The case against starts with the number that put the stock on the screen: the 90% earnings surprise was not 90% of durable earnings. It continues with the fact that the venture's margin is set by regulators, that the balance sheet is levered into that margin, and that the people who run the company have been selling.

1. The surprise was partly policy and partly one-off

\$51m of the quarter's venture EBITDA was a recovery of IEEPA tariffs paid earlier. The company separately monetised about \$150m of 45Z production tax credits. Neither recurs. The venture's \$2.23 a gallon compares with a period a year earlier when higher feedstock costs and weaker RIN and LCFS prices compressed margins; the same variables can compress them again.

2. The margin is set in Washington and Sacramento

Renewable diesel economics depend on the RIN price under the Renewable Fuel Standard, the LCFS credit price in California, and the 45Z credit's carbon-intensity scoring. All three are administrative decisions subject to revision. A weaker 2027 volume obligation, a change to feedstock eligibility, or a lapse in the credit would take the venture from the best quarter in its history to break-even, and the stock's doubling in twelve months is largely the market pricing the current policy set.

3. Leverage against a policy-dependent cash flow, with \$450m of maintenance capex

Net debt of \$4.0bn is 2.3 to 2.7 times EBITDA depending on whose EBITDA - and that ratio is computed on a year that included the June quarter. On the bear case's \$1.3bn of EBITDA it is over three times. An Altman Z-score of 2.6 is in the grey zone. The company is deleveraging, which is the thesis; it is also why the thesis needs the venture's cash to keep arriving.

4. The insiders are net sellers, and the buyer was a director with \$61,000

The screen's insider-purchase flag is a director, Charles Adair, buying 1,000 shares at about \$61 on 31 July. Against that: the chairman and chief executive sold 5,000 shares at \$68.20 on 2 September and roughly \$640,000 more earlier; the chief accounting officer and the chief strategy officer sold in August; eight sales totalling \$2.1m in ninety days. The literature the flag rests on counts opportunistic buying by multiple insiders; this is one small buy inside a pattern of executive selling, and the pitch does not credit it.

5. It is at the ceiling of what a small cap is, and everybody covers it

\$9.9bn of market value is the edge of the screen's \$10bn limit, and twenty-five analysts is the opposite of undiscovered. Whatever advantage a screen has in small caps - thin coverage, slow information - is absent here. What is left is a judgement about policy and multiples that every one of those twenty-five has already made.

What would prove this wrong

- Diamond Green Diesel EBITDA per gallon below \$1.00 in the third quarter with the tariff recovery excluded.
- Net leverage rising in any quarter - the deleveraging is the case.
- A proposed 2027 renewable volume obligation below 2026's, or final 45Z rules that score Darling's feedstock less favourably than proposed.
- Ingredients EBITDA below \$300m in a quarter, which would mean the durable half is not durable.

How this name was found

Surfaced by venture/screen.py on 2026-09-24. The name is a top-ten holding of 1 of the twenty small-cap ETFs swept (DFSV), which is how it entered the universe; it ranked 2 of 63 on an evidence score of 3.0.

Flags and their weights: SUE_TOP (moderate, +2.0), INSIDER_BUY (moderate (literature), +1.0). The pre-run profile (breakout, momentum, volume) is computed for every name and worth zero by design; in the point-in-time panel it underperformed the universe by 3.4 points a year. Nothing in the screen is established at $|t| \geq 3$ and the pitch does not claim otherwise.

Panel profile: Top-decile earnings surprise. Since 2013, names with this profile returned +15.3% on average over twelve months; 5.2% doubled and 4.3% halved.

Sources

- Q2 2026 press release (8-K, exhibit 99.1):
<https://www.sec.gov/Archives/edgar/data/0000916540/000091654026000019/exh991-pressreleaseq22026.htm>
- Q2 2026 call transcript (Motley Fool):
<https://www.fool.com/earnings/call-transcripts/2026/08/03/darling-ingredients-dar-q2-2026-earnings-call-transcript/>
- Sale of ~\$150m of production tax credits:
<https://ca.finance.yahoo.com/news/darling-ingredients-announces-agreement-sell-204500117.html>
- Barclays conference remarks on margins and debt (Investing.com):
<https://www.investing.com/news/transcripts/darling-ingredients-at-barclays-conference-margins-debt-and-peptides-93CH-4894400>
- Insider sales (TipRanks, Simply Wall St):
<https://simplywall.st/stocks/us/food-beverage-tobacco/nyse-dar/darling-ingredients/news/have-darling-ingredients-insiders-been-selling->
- Form 4s for C. Adair (31 Jul 2026), R. Stuewe (2 Sep 2026): SEC EDGAR
- FMP statement, insider, analyst and price feeds (data/venture/fmp)
- Point-in-time small-cap panel, 2013-2026 (data/pit/panel.parquet)
- venture/screen.py evidence table and its cited literature

Personal research, not investment advice. Every figure is computed from the sources named; every opinion is the author's. A base rate describes names like this one, not this one.